Markup & Pricing Strategy

This document explains how CheapestGo earns revenue through markup pricing on flights and hotels, the rationale behind each rate, the technical implementation, and the projected margin after all deductions.

OVERVIEW

CheapestGo charges customers a marked-up price while paying flight and hotel providers the raw supplier fare. The difference — minus Stripe processing fees — is the platform's profit margin. Markup rates are set per product type to balance competitiveness with sustainability.

✈ FLIGHTS

8%

Transparent market. Google Flights & Kayak show base fares at $0 markup. Must stay low to protect the "cheapest" brand promise.

🏨 HOTELS

15%

Opaque market. Rates vary by platform & availability contract. 15% is the OTA industry standard (Booking.com, Agoda, Expedia).

FLIGHTS — WHY 8%

Flight prices are the most transparent product in travel. Aggregators like Google Flights, Kayak, and Skyscanner display the exact airline fare with zero markup and redirect users directly to the airline or GDS. A user can compare in under 10 seconds.

Charging a high percentage markup on flights would directly contradict the "CheapestGo" brand name and drive price-sensitive customers away. 8% sits at the bottom of the traditional OTA range, keeping the brand promise intact while still generating meaningful revenue at volume.

Competitive Landscape — Flights

Platform	Markup Model	Typical Rate	Notes
Google Flights	None (aggregator)	$0	Redirects to airline / OTA
Kayak / Skyscanner	None (aggregator)	$0	Redirects to supplier
Expedia / Booking.com	Flat fee	$15–25	Not percentage-based
Priceline / Orbitz	Percentage	8–12%	Traditional OTA range
CheapestGo	Percentage	**8%**	Bottom of OTA range; brand-aligned

HOTELS — WHY 15%

Hotel prices are inherently opaque. The same room can be listed at different rates across Booking.com, Agoda, Expedia, and direct — due to inventory contracts, dynamic pricing, loyalty tier discounts, and availability windows. Customers cannot easily do an apples-to-apples comparison, which means a 15% markup is effectively invisible.

15% aligns with what established OTAs charge and is considered the industry standard for hotel distribution. Future hotel providers (TravelgateX/RateHawk, ONDA, Rakuten) use net-rate models, meaning CheapestGo buys at wholesale and sells at the marked-up rate.

Competitive Landscape — Hotels

Platform	Commission / Markup	Notes
Booking.com	15–25%	Charged to hotel; passed through as higher room rate
Agoda	15–20%	Commission from hotel side
Expedia	15–30%	Varies by property tier
Airbnb	14–16% guest + 3% host	Split fee model
CheapestGo	**15%**	Bottom of competitive range; net-rate model with providers

HOW IT WORKS — TECHNICAL FLOW

1. Provider (Duffel / Mystifly / hotel supplier) prices the fare at the raw cost, e.g. **$500** .
2. CheapestGo applies the markup: `$500 × 1.08 = $540` for an 8% flight markup.

3. Stripe charges the customer **$540**. The PaymentIntent is created with the marked-up amount.

4. After booking confirmation, the provider deducts **$500** from the platform's Duffel balance or the original Mystifly account.

5. CheapestGo retains **$40 difference**, minus Stripe's processing fee (~$16.96) = **~$23 net profit**.

6. Both the original price and the charged price are stored in the database for finance reporting.

Key principle: The provider is always paid the raw fare — CheapestGo never modifies what is sent to Duffel or Mystifly. The markup only affects the Stripe PaymentIntent amount.

PROJECTED PROFIT — PER BOOKING

Net profit after Stripe fees (2.9% + $0.30 per transaction). Provider costs are already included in the base price.

Product	Base Price	Markup	Customer Pays	Stripe Fee	Net Profit
Budget flight	$300	8%	$324	-$9.70	**~$14.30**
Mid-range flight	$500	8%	$540	-$16.96	**~$23.04**
Long-haul flight	$900	8%	$972	-$28.49	**~$43.51**
Short hotel stay (2 nights)	$200	15%	$230	-$6.97	**~$23.03**
Standard hotel (3 nights)	$300	15%	$345	-$10.31	**~$34.69**
Hotel + flight bundle	$800	12%	$896	-$26.28	**~$69.72**

VOLUME PROJECTIONS — MONTHLY

Monthly Bookings	Avg Ticket	Gross Revenue	Est. Net Profit
10 flights	$500	$5,400	**~$230**
50 flights	$500	$27,000	**~$1,152**
100 flights	$500	$54,000	**~$2,304**
100 flights + 50 hotels	$500 / $300	$71,250	**~$4,040**
500 flights + 200 hotels	$500 / $350	$322,000	**~$18,200**

CONFIGURATION

Rates are controlled via environment variables. No code changes needed to adjust them.

```
# .env (see src/lib/pricing.ts for full documentation)

# Flights: 8% — transparent market, competitive vs Google Flights/Kayak
FLIGHT_MARKUP_PERCENTAGE=0.08

# Hotels: 15% — OTA industry standard, opaque pricing market
HOTEL_MARKUP_PERCENTAGE=0.15

# Bundles (not yet active): 12% blended rate
BUNDLE_MARKUP_PERCENTAGE=0.12
```

> **Safety clamp:** All rates are clamped between 0% and 50% in `src/lib/pricing.ts`. A misconfigured environment variable cannot charge customers more than 1.5× the base price.

DATABASE AUDIT TRAIL

Every booking stores both the original supplier cost and the customer-charged price:

Table	Column	Description
`booking_sessions`	`original_price`	Raw provider fare (what we pay Duffel / Mystifly)
`booking_sessions`	`charged_price`	Amount charged to the customer via Stripe
`booking_sessions`	`markup_pct`	Decimal rate applied, e.g. 0.08
`flight_bookings`	`supplier_cost`	Confirmed fare from the provider after booking
`flight_bookings`	`charged_price`	Final Stripe capture amount
`Stripe metadata`	`originalPrice`	Stored on PaymentIntent for Stripe dashboard audit

FUTURE: HOTEL PROVIDERS

LiteAPI will be replaced with **TravelgateX (RateHawk)**, **ONDA**, and **Rakuten**. These providers use a net-rate model — CheapestGo purchases inventory at wholesale and resells at the marked-up price. The 15% rate already accounts for this model.

When bundles (flight + hotel) are introduced, a blended **12% rate** will be applied to the combined total, giving a slightly higher effective margin than flights alone while remaining competitive against package-deal OTAs like Expedia Packages and Booking.com combos.

> **Implementation reference:** See `src/lib/pricing.ts` for the full TypeScript implementation including `applyMarkup()`, `toStripeAmount()`, and `estimateNetProfit()`. See migration `20260407000000_add_markup_pricing_columns.sql` for DB schema changes.